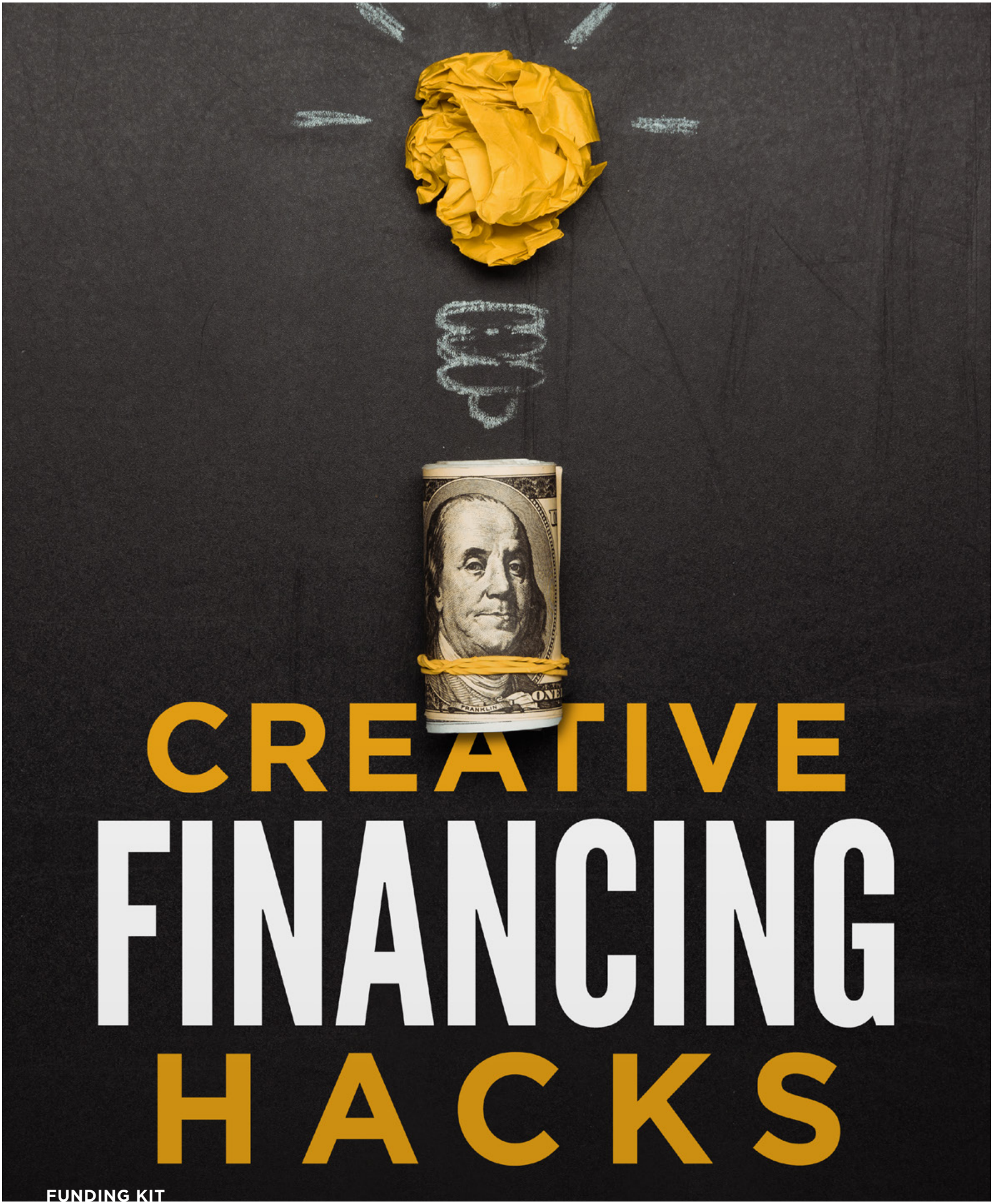

CREATIVE FINANCING HACKS

FUNDING KIT

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Creative Financing Hacks

The Ultimate Guide to Buying Real Estate Using Creative Financing. 4 Time-testing creative financing strategies for buying and structuring real estate with little to no money down.

Introduction to Creative Financing Strategies

Welcome to this comprehensive guide about how to structure and buy real estate using creative financing strategies. By learning these different strategies, you'll have additional ways to profit on real estate deals, making you a better and smarter investor.

In the world of real estate there are two ways to structure deals with sellers. Option 1 is using cash or getting some type of financing. In this case, the seller gets paid in full and ownership is transferred to the buyer. Option 2 is using creative financing strategies, which are alternative ways to acquire and in some cases control real estate without paying some or all of the cash up front or getting bank financing.

As a real estate investor, the better you understand and recognize the ideal situation and the right type of creative financing to use, the more deals you'll do and the more money you'll make. What's important to realize is using creative financing, you don't have to factor in the expensive cost of cash so therefore, you can pay the seller more, which will allow you to do more deals....Deals that other cash-buyer investors (who don't know how to structure creative financing) will pass on.

In case you're wondering, creative financing benefits both the seller and the buyer. If the seller is willing to wait, he can earn more money on the transaction than by selling it outright for cash. Likewise, an investor paying cash has to pay less to acquire the property but with creative financing or terms, can pay more to acquire the same property. Here's the basic rule of thumb...

Cash = pay less.
Terms = pay more.

As I go through this creative financing guide, you'll learn the different types of creative financing and how to recognize the ideal situation for each method and how to properly structure deals using each method.

Two-Step Offer Process

First, let's review my 2 step process for how to discover if and when a seller will consider creative financing as an alternative option.

Step 1: Make a Cash Offer:
First make a low all-cash offer giving the seller the fastest and most convenient exit from the property. Remember "all-cash" and "close quickly" will get the property permanently out of the seller's life which is worth a lower sale price for some sellers.

Step 2: Counter with Creative Financing
If the seller counters at a higher price or even if he or she rejects the all-cash offer, counter back to the seller offering to pay more if the seller will accept a creative financing solution. (Later in this guide I'll cover the different creative financing methods but for now I want you to understand the offer process).

By following this 2-step offer process, you're communicating to the seller...

"If you want to be rid of this property as fast as possible and you want your money now...here's my all-cash offer but if you're willing to wait to get paid and are willing to be flexible on terms, then I can pay you more for it."

It really comes down to this for the seller...

Less money now or more money later...
Which is more important?

Creative Financing Method #1: Seller Financing:

The first unconventional or creative financing strategy we'll cover is called "seller financing" or "owner financing" or sometimes it's called an "owner carry-back."

With seller financing, rather than the seller getting paid off in full up front to sell you the property, he/she agrees to sell the property to you with little to no money down and then carry the balance owed in the form of a seller-finance loan. In essence, the seller is being the lender for you on his or her own property.

For example, let's say that a seller agrees to sell you his property for $100,000. Rather than paying cash or borrowing from a 3rd party lender (like a bank or a private or hard money lender) to pay off the seller in full for $100,000, instead the seller agrees to wait for a pre-determined amount of time to get paid off and instead becomes the lender and finances you to buy his house.

In this case, ownership would transfer to you like normal but now instead of having a mortgage or deed of trust with a 3rd party lender, the seller would be the lender. He would be protected with a

mortgage lien on the property and would collect interest payments from you.

Buying properties using seller financing is a great creative financing strategy but it only works when the seller owns the property free and clear. If the seller has an existing mortgage lien on the property, you can't do a seller finance purchase because there is already an existing lien holder. In that case, there is a different creative financing strategy we use called subject-to, which we'll discuss later in this guide.

You may be thinking, "Not very many people own their properties free and clear." Actually, that's not true. It's estimated that 1/3 of all real estate in the U.S. is owned free and clear.

Two Reasons For Seller Financing

Why would a seller agree to wait to get paid and do a carry back loan? There are 2 main reasons.

Reason #1: The Seller Gets A Higher Purchase Price:
The first reason is the seller gets a higher purchase price. Remember, whenever you buy real estate on terms or using creative financing, you pay more than a cash transaction. In exchange for waiting to get paid in full, the seller gets a higher price.

This is also beneficial to you the investor because now you don't have to raise the capital and come up with most or all of the cash to buy the property. To help illustrate this point, let's do a comparison of a cash offer vs a seller finance offer. A cash offer is usually 70% of the ARV less cost of repairs. Here's the buy formula:

CASH: (ARV x 70%) – repairs = buy price

A seller-carry offer is usually 85% of ARV less cost of repairs. Here's the buy formula:

SELLER CARRY: (ARV x 85%) – repairs = buy price

For example, If the ARV is $100,000 and repairs are $15,000, here's what it would look like with each...

CASH: ($100,000 x 70%) - $15,000 = $55,000 buy price

SELLER CARRY: ($100,000 x 85%) - $15,000 = $70,000 buy price

That's $15,000 more to the seller as an incentive to do a seller finance deal with you!

***Pro Tip:**
Help the seller understand the difference in price between cash and seller-carry as a way to motivate him or her to take the seller carry offer. If I know the seller owns the property free and clear, I would present my cash offer to establish a low price with the seller but then to entice the seller to consider creative financing, I'll say...

"If you're willing to consider owner financing,
I can pay you a much higher price to buy the home."

Most of the time, the seller responds by saying, "well what does that look like," which opens the door to discuss seller carry.

Reason #2: The Seller Gets Cash Flow
In addition to getting more on the price, the seller also earns cash flow from the interest on the loan payment you make each month.

Three Seller Financing Terms

Now let's discuss the terms of a seller carry. There are 3 main terms that you will need to negotiate with the seller when doing a seller finance deal.

Term #1: Down Payment
The first is a down payment. It is possible to get the seller to carry 100% but most sellers will want you to have some "skin in the game" or in other words, they want to make sure you're financially committed to the deal. This is typically 5-10% down.

A work around to the down payment is using the rehab funds as your skin in the game in leau of a down payment. In the example we gave earlier, we had a $15,000 cost of repairs. Explain the seller that you're going to spend $15,000 renovating the home, which will increase the equity or value of the home and also count as your skin in the deal.

You could even offer to put the $15,000 in escrow at closing to be used for the rehab to make the seller feel more comfortable that you're going to do the repairs.

Term #2: Interest Rate:
The 2nd term is the interest rate. Now if you plan on keeping the property long term, negotiate a low interest rate. If you're planning on flipping the property, interest rate isn't your primary concern because you're only going to hold the property for a few months so use it as leverage when negotiating the terms.

For example, instead of 5% for a long-term rate, offer to pay 8% interest with $0 down because paying 8% instead of 5% for a few months until you flip the property is worth it to not have to put 5-10% down and tie up the cash.

Term #3: Loan Due Date (Balloon):
The 3rd term is when the loan has to be paid off. Typically, the payment is amortized over 30 years but a seller doesn't want to carry the loan for 30 years so they'll have a date when it's due, called a balloon. This could be 1 year, 3 years, 5 years or whatever you negotiate.

If you want to hold the property long term, get as high a balloon as you can. However, if your goal is to flip the property, and you plan on only holding the property a few months, use this term to your advantage when negotiating. For example, offer 8% interest, $0 down, with a 1 year balloon (which is plenty of time to flip the property). The hope is the higher interest and shorter balloon will off-set the $0 down with the seller.

Once you've agreed on the terms and they are spelled out in the purchase and sale agreement, you could pay an attorney to draft the paperwork but seller carry deals are pretty common and I usually have the title or escrow company do it for me.

Creative Financing Method #2: Land Contract

The 2nd method of creative financing is using a "land contract" if you're in a mortgage state or a "contract for dee" if you're in a trust deed state. For ease of use in this guide, I'm going to just use land contract.

A land contract is similar to seller financing except you don't actually get the legal title to the property until after you meet the terms of the contract and pay off the balance owed to the seller. Once paid in full, you get the deed.

In the meantime, while making payments on the land contract, you the investor have what's called "equitable title" to the property. This

means the owner can't sell the property to a third party or subject the property to a lien or encumbrance that would interfere with your equitable interest in the property.

The way to protect your equitable title is by filing with the city or county what's called a "memorandum of land contract." This is an abbreviated legal document referencing the land contract itself. This memorandum serves to put the public on notice of your interest in the real property without the parties having to publicly disclose and record the full land contract and all of its terms, including price.

So if the seller were to try and sell the property, the memorandum of land contract would pop up in a title search, clouding title and preventing the owner from selling.

Benefits of a Land Contract

Let's discuss the benefits of using a land contract. First of all, just like with pretty much all creative financing strategies, if structured properly and under the right circumstances, a land contract is a win-win for both the seller and you the investor.

As an investor, a land contract allows you to buy a property with little to no money down, (depending on what you structure) and do it without coming up with all of the cash for the purchase and without having to qualify for conventional bank financing, giving you the ability to do more deals.

A land contract benefits the seller (if he is willing to wait to get paid in full) because he usually can get a higher price and is also able to collect interest on monthly payments.

Land Contract Vs Seller Financing

So why would a land contract be used instead of seller financing? The real benefit of a land contract is the lower-risk to the seller. Remember, with a land contact the seller retains ownership to the property until you fulfill the terms of the contract.

With regular seller financing, the buyer takes title to the property and in the event of a default where the buyer stops making payments, the seller would have to follow the legal foreclosure process which can be lengthy and expensive.

With a land contract, in the event of a default, the process is much simpler. The seller would file a court action called "land contract forfeiture," in which the buyer would forfeit all of the money paid to the owner including any down payment and the equitable interest would be terminated so the owner would get back the property. Here's the bottom line...

Seller financing gives the buyer more control and the seller less control.
Land contract gives the seller more control and the buyer less control.

If you can choose, use seller financing but really the only negative impact to you as the buyer would be if you were to default on the contract. Everything else is the same so either one is a great creative financing strategy for investors.

When it comes to making an offer to buy using a land contract, follow my two-step process I outlined earlier, which is to first make a low all-cash offer then follow up with a higher creative financing offer. This is how you'll quickly discover if the seller is willing to take more money

later (creative financing) rather than less money now (cash).

Also, when structuring the deal, remember the 3 most important terms (other than price), which is down payment, interest rate and maturity or when the due date is to pay off the land contract in full.

Creative Financing Method #3: Subject-To

"Subject-To" is a more advanced creative financing strategy because you really need to understand how real estate lending works, However, once you do, it's a powerful strategy.

Understanding Liens

When someone buys a property and gets financing from a lending institution to pay for some or all of the purchase, that lender puts a mortgage or deed of trust lien on the property.

This is how the lender is protected because not only does the owner have to pay off the lien in order to sell the property but in the event that the owner defaults on the loan, the lender can foreclose and take back the property.

Now remember how with seller financing the owner sells you the property and becomes the lender for you on some or all of the purchase? Well seller financing only works if the owner owns the property free and clear because he can't technically be the lender if there is already a lender who holds a lien position.

For example, let's say that Wells Fargo is the lender and there is a mortgage lien on the property in the amount of $100,000. In this case, the seller couldn't do a seller finance loan with you for $100,000 because the existing loan with Wells Fargo takes precedence.

So what alternative creating financing solution do we have when the seller has an existing mortgage on the property? This is where the subject-to strategy comes in.

Subject-To Explained

Subject-to is short for subject to the existing financing. Sometimes it's even abbreviated to sub-to. The simplest way to explain this is rather than buying the property and paying off the existing loan, instead you're going to assume or take over the existing loan payments that are already in place.

By taking over the payments, the seller is able to walk from the property and is relieved of making the loan payments, insurance, taxes and any/all other costs of ownership because you're assuming all of those costs and responsibilities.

Sounds simple enough in theory but here's where it gets tricky. Remember I said that the owner can't sell the property without paying off the existing loan? That means even though you take over the payments, the loan stays in the owner's name. The bank will not transfer the liability or loan into your name.

This is a risk to the owner because in the event you stop making the loan payments, for whatever reason, who is the bank going to hold responsible? The original owner not you. So how does the investor get ownership without transferring liability of the loan?

What most investors do is create a contract that transfers the deed to them but not the liability. This allows the investor to control the property and rent it or sell it and realize any upside equity. Of course, when the investor sells the property, the original existing loan will get paid off at that time.

- Technically, transferring the deed triggers a clause in the loan called "due on sale," where the lender could call the loan due but the reality is the lender has no way of knowing that you and the owner did a sub-to deal and honestly, as long as the lender is getting the monthly payment, they really don't care....why would they?

6-Step Process to Structure Subject-To Deals

So here are the 6 steps to structuring a subject-to deal:

Step #1: Find Out Existing Loan Terms:
Find out the terms of the existing loan including the principal balance, interest rate, monthly payment and if there is a balloon or early due date to pay off the loan. This is easy to find out. just ask the home owner to provide the most recent mortgage statement or even better, have the owner get a pay-off letter from the lender. Lenders provide these all the time and can email it to the owner right away.

Step #2: Determine Equity:
Find out how much equity is in the deal. In other words, how much do they owe compared to how much it's worth. If their current balance due on the loan is $70,000 and its current as-is value is $100,000, then there is 30% or $30,000 in equity.

Step #3: Determine Exit Strategy:
Determine your exit strategy. If there is enough equity, you could turn around and flip it which is what I like to do. You could also keep it long term as a rental. Some investors will do this with no equity if they can still cash flow.

For example. Let's say the loan balance is $100,000 and the as-is value is $100,000 so there's no equity on the deal. Normally this would be a no-deal situation but what if the interest rate is really low and the total monthly payment is only $700 and the property will rent

for $1000/month? For a buy and hold investor, no equity is off-set by $300/mo cash flow and hopefully over time, the property appreciates in value.

Step #4: Factor in Out-of-Pocket Expenses:
Factor in all any/all out of pockets expenses to do the deal. Sometimes the owner is behind on payments or hasn't paid the property taxes. These costs will require out-of-pocket cash at the closing to bring everything current and these costs will need factored into the deal.

Step #5: Factor in Cash to Seller:
Consider giving the owner cash at closing. Sometimes it's enough for the owner to just be rid of the headache the property is causing them but often if you can get the seller some cash in his pocket, it makes the deal go much smoother. It all depends on the exit and the numbers but if possible, build into the deal getting the seller some cash at closing (i.e. - $5,000 to $10,000).

Step #6: Hire An Attorney To Do The Paperwork:
Get a specialized sub-to attorney to put the paperwork together. This is something I highly recommend you don't do yourself. It may cost you $500 -$1000 but it's well worth it to make sure everything is done correctly.

****Pro Tip:**
One of the concerns an owner has with doing a sub-to deal is making sure you make the payments on time every month because remember, the owner is still liable. To ease their concerns, offer to have a 3rd party servicing company do the payments every month. That way the owner would get notified if a payment was ever late or missed.

Case Study: $65,000 Sub-To Flip

One of my elite mentoring students Phil Robertson did a sub-to deal in Holly Springs, NC. Phil found a motivated seller who owed $175,000 on his property with a current as-is value of $260,000. The seller lost his job and was several months behind on payments and in pre-foreclosure.

Phil took over the property subject to the existing loan which had a total monthly payment of $1100 (PITI). He paid approximately $5000 in back payments, legal and closing fees to put the deal together. He also paid the seller $10,000 cash at closing foir a total of $15,000 out of pocket on the deal.

After closing, he put a FSBO sign in the front yard just to see what would happen and immediately got a buyer for $258,000. Thirty days later he closed on the sale to the new buyer. At closing he paid off the existing loan of $175,000 and recovered his out of pocket expenses of $15,000. And after a few thousand dollars in misc. closing fees and after only making 1 $1100 payment, he made a net profit of $65,000!

Creative Financing Method #4: Lease Options

Of all of the creative financing strategies we've discussed in this guide, a "lease option" or what's more formally called a "lease with the option to buy" is perhaps the most flexible structure of all. They're easy to get into and they're easy to get out of for both the buyer and the seller.

Let's discuss what a lease option is and more importantly how to use

it as an investment strategy to acquire deals with little to money down and even how to use lease options to flip houses for big profits.

Lease-Options Explained

A lease option is a contract between the owner and a buyer to lease the property for a specified time and at the end of the rental period, the buyer has the option to purchase the property usually for a pre-agreed set price.

It's important to know that the option part of the agreement means that the tenant/buyer has the option to buy but is not obligated whereas the seller does NOT have the option to sell and is obligated. In other words, it binds the seller to sell but does not bind the buyer to buy.

Lease options are very common when a buyer wants to buy the property but cannot qualify for traditional financing yet and needs time to improve credit, save more money, etc. A lease option gives the buyer assurance that they will have first right of refusal to buy the property and gives the seller rental income from a more committed tenant who hopefully will eventually buy the property.

Typically to show good faith, the tenant-buyer puts down up-front a "non-refundable option fee" or consideration of 3-10% to be applied to the purchase, but the amount is completely negotiable. It's also common for a portion of the monthly rent to be applied to the purchase, usually $50 up to $200 depending on the lease.

If the tenant decides NOT to exercise the option and does NOT buy the property for whatever reason, the lease terminates and the owner keeps the option money.

Compared to other creative financing strategies such as seller

financing or a land contract, a lease option is the easiest and most favorable method for the seller to terminate the agreement and take back possession of the property.

Case Study: New Construction Lease Option

So let me illustrate how a lease option works by sharing with you a deal I recently did where I was the seller and structured a lease option with a buyer then I'll share with you 3 different methods to acquire deals on the buy side with little to no money down using the lease option strategy.

One of my house flipping strategies is to build and sell new construction homes. I recently built a house and listed it for sale to flip for $700k. By the way, selling it for $700k would make this a 6-figure profit deal. While it was for sale, I had a buyer come forward who fell in love with the home and really wanted to buy it but he needed to sell his home first in order to buy mine.

So he made an offer for $700k contingent on his house selling first. I didn't want to go under contract with no idea how long it would take him to sell his house so I rejected his offer and instead proposed that we do a 1-year lease option. That way he could move into the house already and have 1 year to get his other house sold.

He agreed to pay $3500/mo in rent for 1 year with an option to buy at the end of the lease for $750,000 (not $700k). Remember, when using creative financing typically the buyer pays more to the seller for being flexible. This buyer also paid a $75,000 (10%) non-refundable option fee.

It actually only took him 4 months to sell his other home, exercise his option and buy my house for $750,000. In this case, both parties benefited. The buyer got to move in right away while he was waiting for his house to sell. And as the seller, not only did I make cash flow while waiting another 4 months but I made an additional $50,000 profit for being willing to structure a lease option deal.

Three Methods to Buy Using Lease Options

I share that story to illustrate how to structure a lease option but the real purpose of this guide is to show you how to use lease options to acquire homes as an investor with little to no money down using lease options. Let's break down 3 different methods...

Method #1: Sandwich Lease Option
This is when you structure to buy a house on lease option with favorable terms from a motivated seller and then immediately turn around and sell the property to a new end-buyer on lease option for even more favorable terms. The idea is to sandwich the 2 lease options and make a spread on the difference.

For example let's say you agree to buy a house on lease option with the following terms:

You & Seller:
Option Price: $236,000
Option Fee: $12,000 (5%)
Monthly Lease: $1500

Then you turn around and immediately do a lease option with a

new tenant/buyer with an option to buy the same property for the following terms:

You & Buyer:
Option Price: $250,000
Option Fee: $20,000 (5%)
Monthly Lease: $1800

So you "sandwich" your lease with a new lease and make the following spread:

Buy: $14,000 ($250,000 - $236,000)
Option Fee: $8,000 ($20,000 - $12,000)
Cash Flow: $300/mo ($1800 - $1500)

Now obviously, a sandwich lease is a longer-term hold strategy and for this to work out, the end buyer/tenant needs to perform on their contract with you, the investor, so that you can perform on your contract with the seller. Now if that sounds like a headache and you're not into buy-and-hold properties or dealing with tenants, there are 2 other short term strategies.

Method #2: Wholesale Your Lease Option
Using the same example, if you were to negotiate and contract those same favorable terms with a motivated seller, another investor would gladly buy the rights to that lease option contract. This would be an investor who wants to do a sandwich lease and deal with an end-buyer tenant.

Let's take a look again at the previous example. On this deal, if an investor were to buy the rights to the lease option contract with the intent to do a sandwich lease, the deal has the following spread:

Buy: $14,000 ($250,000 - $236,000)

- Option Fee: $8,000 ($20,000 - $12,000)
  Cash Flow: $300/mo ($1800 - $1500)

Of these 3 different profit centers on the deal, you could charge $8,000 as a wholesale fee to the investor who steps in and gets to keep the other 2 upsides of $14,000 on the buy and $300/mo cash flow.

Method #3: Lease Option Than Flip

The 3rd method is to acquire the property on lease option terms and then rather than carry it long term as a rental or sandwich lease... turn around and flip it for a profit.

For example, let's say you found a property and your goal is to spend $10,000 rehabbing the house and then to immediately flip it for $250,000 and do it in 90 days.

Since your plan is to flip it, give the seller more monthly rent and a shorter option period in exchange for a lower option fee. For example, if the going rate for a lease is $1500/mo, offer $1800/mo and if instead of a 3 or 5 year term offer a 1 year term. In exchange for a higher monthly rent and a shorter option term, offer to pay a really lower option fee (i.e. $100).

Remember, you plan on flipping the property in 90 days so paying $300 more for 3 months in rent is worth it for paying less in an option fee and a 1-year term is more than enough time to flip it.

Another way to get the seller to agree to a really low option fee (i.e. $100) is to explain that you're going to put $10,000 into the property in the form of repairs in luau of an option fee. This will increase the value of the property and still shows the seller a commitment to have skin in the game. You could even offer to put the $10,000 in escrow at closing to be used for the renovations to make the seller feel more comfortable.

Conclusion

As an investor, it is a lot of work (and cost) to find and identify motivated sellers. When you do, it is in your best interest to maximize every lead and exhaust all methods of creating a win-win situation between you the investor and the seller. Following these 4 different creative financing strategies outlined in this guide, you now have more options to profit on deals other than offering cash or using conventional financing. Good luck and happy investing!

- Jerry Norton

Jerry Norton's Creative Financing Mind Map

3-Step Process To Acquire Houses Using Creative Financing

Step 1: Initial Low "Cash" Offer

- Follow wholesale/fix & Flip buy formula. Establish low price baseline

Step 2: Creative Financing Probe

- Regardless of response, follow up with creative financing probe…
"Are you open to flexible terms for more money?"

Step 3: Present Best Option

If NO – Not Open to Creative

Accepts low cash offer….

Buy "All-Cash"

- Wholesale to Cash Buyer
- Buy Using Hard Money/Private Money

Doesn't accept cash offer but close….

Option Agreement

- If seller is within 10% of cash offer, Use option agreement, then find buyer to wholesale

If YES – Open to Creative

Has An Existing Loan

- Subject-To
- Partner with Owner

Owns Free & Clear

- Seller Financing / Land Contract
- Partner with Owner